

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-28

WAY INTERGLOBAL NETWORK, LLC

COMPLAINANT,

v.

SHENZHEN UNIFELIX SCM LIMITED

RESPONDENT.

COMPLAINANT'S BRIEF

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INTRODUCTION

This is a straightforward matter involving the wrongful detention of 20 containers by Respondent because of unpaid demurrage charges on unrelated containers, wrongful coercive actions taken by an NVOCC by threatening a shipper's customers and discussing protected financial matters and taking a position that was not only a refusal to deal and negotiate in good faith, but also in violation of the Transport Contract between the Parties. The conduct is not only in violation of law but is clearly sanctionable by the Commission for the blatant disregard of the shipper's rights in this matter. Despite numerous discovery requests, Respondent, Unifelix, failed to produce requested information, requiring Complainant, Way, to issue subpoenas to third parties, including Unifelix's own U.S. agent, Celestial Freight Solutions ("Celestial"), in order to obtain documentation related to the unrelated containers and well as the 20 Containers (defined below), some of which Way had been requesting since early 2022.

The 20 containers at issue in this matter are containers TCNU6557513, TCNU7351126, TLLU4212160, TLLU5558286, GAOU6616340, TLLU5672365, TCNU6134091, TGBU9704789, TXGU7117086, TXGU7120114, CLHU8963040, FANU1742269, TXGU7119812, TXGU7120330, TXGU7118550, BEAU4986763, UACU5979959, TXGU7118415, TXGU7120120, and TCNU675644 (the "20 Containers"). In essence, the 20 Containers were held hostage while Complainant, Way Interglobal Network, LLC ("Way" or "Complainant") and Respondent, Shenzhen Unifelix SCM Limited ("Unifelix" or "Respondent") (collectively, "Parties") resolved invoicing and other disputed charges on the unrelated containers. The resolution took time because of double billing, invoices without backup, failure of explanation of charges, including demurrage, and Respondent refusing to even provide bills of lading for the unrelated containers, for which payment was being demanded and for which Respondent refused

to release the 20 Containers. Even after the Parties resolved the unrelated matters and charges for the 20 Containers, Respondent still gave instructions to not release the 20 Containers until unrelated demurrage charges were paid. The actions of Respondent caused additional demurrage charges to incur on the 20 Containers. Additionally, Respondent breached the contract between the parties by not providing trucking services from the Chicago rail station to Complainant's warehouse.

Respondent's actions were in violation of 46 U.S.C. §§41102, 41103 & 41104, as set forth in detail below. Respondent may try to argue that its actions were justified under the terms of the Transport Contract, but as the facts will show, Respondent's actions were in breach of the Transport Contract and in violation of the law. As to Unifelix's defense of Way's failure to mitigate its damages, this defense should fail as a matter of law. "Mitigation does not allow a wrongdoer to shift the cost of its malfeasance to the injured party. *See, Shea-S&M Ball v. Massman-Kiewit-Early*, 606 F.2d 1245, 1249-50, 196 U.S. App. D.C. 338 (D.C. Cir. 1979) (plaintiff was not required to mitigate damages by constructing a dike when the defendant had breached its contractual duties by failing to control water overflow and could just have easily built a dike itself); *see also, Welke v. City of Davenport*, 309 N.W.2d 450, 453 (Iowa 1981) (rejecting contention that a plaintiff's damages could be reduced when a tortfeasor illegally seized chattels and plaintiff did not try to reclaim the chattels by paying a fee and storage charge)." *Adenariwo v. FMC*, 420 U.S. App. D.C. 302, 308, 808 F.3d 74, 80 (2015).

As the Complainant, Way, "bears the burden of persuasion to prove its case by a preponderance of the evidence. *See, Steadman v. SEC*, 450 U.S. 91, 102 (1981). Finally, while an administrative law judge cannot rely on mere speculation, inferences may be drawn from certain facts and circumstantial evidence may be considered. *Waterman S.S. Corp v General Foundries*,

Inc., 26 S. R.R. 1173, 1180 (ALJ 1993).” *Goforth & Marti D/B/A Gm Business Interiors v. HSIN Silk Road Shipping Ltd.*, 6 F.M.C. 2nd 128, 130 (February 15, 2023). The evidence presented supports a finding in Way’s favor on all claims asserted and an appropriate award of reparations as a result Unifelix’s violations of the Shipping Act.

In this Brief, references to Complainant’s Appendix will be denoted as CX “___”. Complainant has attempted to group relevant documents together as they relate to each container, which has resulted in some duplication of documents, but which will make it easier to match the appropriate documentation to each container.

PROPOSED FINDINGS OF FACT

1. The 20 at issue containers in this matter are TCNU6557513, TCNU7351126, TLLU4212160, TLLU5558286, GAOU6616340, TLLU5672365, TCNU6134091, TGBU9704789, TXGU7117086, TXGU7120114, CLHU8963040, FANUI742269, TXGU7119812, TXGU7120330, TXGU7118550, BEAU4986763, UACU5979959, TXGU7118415, TXGU7120120, and TCNU6756449 (the “20 Containers”). (¶3, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶2, Declaration of Andrew McKenna (CX 7386-7403)).

2. The actions of the Parties as it relates to the 20 Containers were governed by the Transport Contract the Parties signed on or about March 22, 2022 (“Transport Contract” or “Contract”). (¶4, Declaration of Salvatore B. Guasto (CX 7404-8011)). (CX 2-3). (¶3, Declaration of Andrew McKenna (CX 7386-7403)).

3. Under the terms of the Transport Contract, Respondent had responsibility for Complainant’s trucking and sea freight export services. (CX 2). (¶5, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶4, Declaration of Andrew McKenna (CX 7386-7403)).

4. The transportation of the cargo contemplated by the Transport Contract was port-to-door. (¶6, Declaration of Salvatore B. Guasto (CX 7404-8011)).¹ (¶5, Declaration of Andrew McKenna (CX 7386-7403)).

5. Under the terms of the Transport Contract, the transportation charge could not be amended without both Parties' confirmation. (CX 2). (¶7, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶6, Declaration of Andrew McKenna (CX 7386-7403)).

6. Under the terms of the Transport Contract, neither of the Parties could alter any charge while the cargo was in transport. (CX 2). (¶8, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶7, Declaration of Andrew McKenna (CX 7386-7403)).

7. Under the terms of the Transport Contract, payment was due within 7 days after the cargo (or goods) was received at Complainant's local warehouse. (CX 2). (¶9, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶8, Declaration of Andrew McKenna (CX 7386-7403)).

8. Complainant's local warehouse was located in Elkhart, Indiana at 3002 Coast Court. (¶9, Declaration of Andrew McKenna (CX 7386-7403)).

9. Payment was due by Complainant to Respondent seven (7) days after the cargo was transported to Complainant's local warehouse. (CX 2). (¶9, Declaration of Salvatore B. Guasto (CX 7404-8011)).

10. There was no provision for default or cure contained within the Transport Contract. (CX 2-3). (¶10, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶10, Declaration of Andrew McKenna (CX 7386-7403)).

¹ After execution, a scrivener's error was discovered in Mr. Guasto's Declaration. Paragraph 6 of his Declaration should read port-to-door.

11. The 20 Containers contained cargo that was shipped from China to a port in California, and which would then be transported by rail to Chicago. From the rail yard, the 20 Containers were to be trucked to Complainant's facility in Elkart, Indiana. (¶¶9, 11,14, Declaration of Andrew McKenna (CX 7386-7403)).

12. From May 22, 2022 to June 25, 2022, the 20 Containers were shipped from China. (¶12, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶12, Declaration of Andrew McKenna (CX 7386-7403)). See chart below with references:

Container	Type of Shipment	Ref.	Date Left China	Ref.
BEAU4986763	Freehand ²	CX 126	6/18/2022	CX 127-138
CLHU8963040	Freehand	CX 187	6/1/2022	CX 188-193, 203-271
FANU1742269	Freehand	CX 331	5/22/2022	CX 332-346
GAOU6616340	Freehand	CX 397	6/11/2022	CX 398-402
TCNU6134091	Freehand	CX 430	6/11/2022	CX 431-435
TCNU6557513			6/18/2022	CX 463-468
TCNU6756449			6/25/2022	CX 500-514
TCNU7351126	Freehand	CX 548	6/11/2022	CX 549-553
TGBU9704789	Freehand	CX 590	6/11/2022	CX 591-595
TLLU4212160	Freehand	CX 633	6/11/2022	CX 634-638
TLLU5558286	Freehand	CX 677	6/11/2022	CX 678-682
TLLU5672365	Freehand	CX 722	6/11/2022	CX 723-727
TXGU7117086			6/4/2022	CX 769-780
TXGU7118415			6/18/2022	CX 885-898
TXGU7118550	Freehand	CX 963	6/18/2022	CX 964-975
TXGU7119812			6/18/2022	CX 1057-1070
TXGU7120114			6/4/2022	CX 1116-1127
TXGU7120120	Freehand	CX 1213	6/18/2022	CX 1214-1225
TXGU7120330			6/18/2022	CX 1289-1302
UACU5979959			5/22/2022	CX 1348-1391

² The information regarding the freehand status of the various containers was taken from documents produced by third-party Celestial Freight Solutions. Celestial Freight Solutions produced its documents by folders indicating that the documents referenced certain containers. The emails referencing the freehand shipment status were included in the folders for the particular container(s). The emails for Containers GAOU6616340, TCNU6134091, TCNU7351126, TGBU9704789, TLLU4212160, TLLU5558286, and TLLU5672365 were included together in one folder. (CX 2890). Freehand shipment was not referenced in the Transport Contract.

13. After the 20 Containers were in transport, the terms of the Transport Contract could not be changed as it related to those 20 Containers. (CX 2). (¶13, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶13, Declaration of Andrew McKenna (CX 7386-7403)).

14. Under the terms of the Transport Contract, Respondent had responsibility for the trucking and sea freight export services for the 20 Containers. (CX 2). (¶14, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶14, Declaration of Andrew McKenna (CX 7386-7403)).

15. Under the terms of the Transport Contract, Respondent had the responsibility to transport the 20 Containers to Chicago, Illinois and then to Complainant's facility in Indiana. (¶14, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶14, Declaration of Andrew McKenna (CX 7386-7403)).

16. Under the terms of the Transport Contract, Complainant was not obligated to pay Respondent until seven (7) days after the 20 Containers arrived at its facility in Indiana. (CX 2). (¶9, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶15, Declaration of Andrew McKenna (CX 7386-7403)).

17. On June 13, 14 and 15, 2022, the Parties engaged in email correspondence wherein Respondent requested that Complainant help to relieve the financial pressure of Respondent, including its need for additional funds to pay for truck drivers at the Chicago rail station because there were so many containers and because the shipping company required Respondent to pay sea freight within seven days after the shipment. (CX 5-10). (¶16, Declaration of Andrew McKenna (CX 7386-7403)).

18. While Respondent's request could be construed as a request to change the Transport Contract, Complainant did not agree to change any of the terms of the Transport Contract. (¶17, Declaration of Andrew McKenna (CX 7386-7403)).

19. The original terms of the Transport Contract remained intact. (¶17, Declaration of Andrew McKenna (CX 7386-7403)).

20. The 20 Containers began arriving in the United States at various ports in California on June 20, 2022. (¶18, Declaration of Andrew McKenna (CX 7386-7403)). See the chart below with references:

<u>Container</u>	<u>Date Arrived in CA</u>	<u>Ref.</u>
BEAU4986763	7/19/2022	CX 149-150
CLHU8963040	6/27/2022	CX 296-297
FANU1742269	6/29/2022	CX 355-356
GAOU6616340	7/8/2022	CX 406-407
TCNU6134091	7/3/2022	CX 438-439
TCNU6557513	7/10/2022	CX 470-471
TCNU6756449	7/17/2022	CX 519-520
TCNU7351126	7/8/2022	CX 557-561
TGBU9704789	7/8/2022	CX 598-602
TLLU4212160	7/8/2022	CX 642-646
TLLU5558286	7/8/2022	CX 686-693
TLLU5672365	7/8/2022	CX 731-738
TXGU7117086	7/4/2022	CX 795-796
TXGU7118415	6/23/2022	CX 908-912
TXGU7118550	6/20/2022	CX 999-1000
TXGU7119812	6/20/2022	CX 1080-1081
TXGU7120114	7/3/2022	CX 1137-1138
TXGU7120120	6/23/2022	CX 1259-1260
TXGU7120330	6/20/2022	CX 1312-1313
UACU5979959	6/22/2022	CX 1393-1397

21. Beginning in early July 2022, Complainant began to realize that Respondent was providing inaccurate invoicing and inflated claims of balances due. (CX 51). (¶19, Declaration of Andrew McKenna (CX 7386-7403)).

22. As a result, Complainant had to perform an extensive audit of Respondent's invoices. (CX 51). (¶19, Declaration of Andrew McKenna (CX 7386-7403)).

23. This audit took time because of the lack of backup documentation for Respondent's invoices. (¶19, Declaration of Andrew McKenna (CX 7386-7403)).

24. The majority of the emails from Respondent contained spreadsheets without actual invoices, statements, or other documentation. (¶19, Declaration of Andrew McKenna (CX 7386-7403)).

25. Based on the result from the audit, Complainant was prepared to pay Respondent for the amounts it owed for unrelated containers. (CX 51). (¶20, Declaration of Andrew McKenna (CX 7386-7403)).

26. On July 6, 2022, Dong G. Ngo with Ba-Shi Yuexin Logistics advised Celestial Freight Solutions that Container FANU1742269, which was part of the 20 Containers, and two other containers were in the Oakland, CA terminal pending rail due to delays from congestion and rail car shortage. (CX 362-363).

27. On July 12, 2022, Respondent, through Duke Zhang, its Overseas Coordinator, instructed its US agent, Celestial Freight Solutions, to hold all containers for Complainant and wait for Respondent's further notice. (CX 90). (¶21, Declaration of Andrew McKenna (CX 7386-7403)).

28. This delay affected the 20 Containers and was in violation of 46 C.F.R. §41102 as well as the Transport Contract . (¶21, Declaration of Andrew McKenna (CX 7386-7403)).

29. On July 19, 2022, Wayne Kaylor with Complainant advised Respondent that it received information on July 19, 2022, that Respondent had approached Complainant's vendors/suppliers for payment of freight. (CX 51, 105). (¶15, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶22, Declaration of Andrew McKenna (CX 7386-7403)).

30. Respondent did not deny that it approached Way's vendors/suppliers, but instead on July 20, 2022, stated it had "not harassed suppliers and slandered your company. Our company collects the ocean freight from the shipper on the BL in accordance with Chinese law, which is

allowed by Chinese law, on the premise that your company has not paid the freight. If you can pay the freight, our lawyer will stop asking the factory to pay the freight and stop taking the next legal measures against the factory.” (CX 49-50, 106-107). (¶23, Declaration of Andrew McKenna (CX 7386-7403)). The Transport Contract does not call for the application of Chinese law. (CX 2).

31. On July 21, 2022, Respondent, through Duke Zhang, its Overseas Coordinator, instructed its US agent, Celestial Freight Solutions, to not release a shipment, which is believed to include Container CLHU8963040 (one of the 20 Containers) based on the indication from Celestial Freight Solutions in its production, and hold the pickup number for an unknown container. (CX 91).

32. On July 22, 2022, Respondent emailed Complainant and stated that because Complainant (according to Respondent) did not pay as agreed in the Transport Contract, Respondent would change the terms of the Contract and would no longer provide trucking delivery service at the destination port. (CX 12-13). (¶24, Declaration of Andrew McKenna (CX 7386-7403)).

33. By the date of Respondent’s July 22, 2022 email, all of the 20 Containers were sitting at various ports in California waiting to be loaded onto rail and transported to Chicago, Illinois. (¶25, Declaration of Andrew McKenna (CX 7386-7403)).

34. On July 25, 2022, Respondent accused Complainant of breaching the Transport Contract, requested that Complainant sign a new contract, and stated that containers that were “stranded” at the port (which did not include the 20 Containers based on the documents produced in this matter) had incurred demurrage and detention charges which should be paid by Complainant. (CX 11). (¶26, Declaration of Andrew McKenna (CX 7386-7403)).

35. On July 27, 2022, Respondent advised Complainant that it could not provide supporting documentation for its invoices including bills of lading demonstrating rail delivery to Chicago and receipt in the railyard, because “Carrier can’t provide any signed BOL demonstrating rail delivery to Chicago and receipt.” (CX 109). (¶29, Declaration of Andrew McKenna (CX 7386-7403)).

36. The documentation confirming rail delivery to Chicago was important because under the terms of the Contract, Complainant was not required to pay Respondent until the cargo was transported from the railyard to Complainant’s warehouse. (CX 2). (¶30, Declaration of Andrew McKenna (CX 7386-7403)).

37. On July 28, 2022, Respondent threatened Complainant that if Complainant did not pay ocean freight for 67 unrelated containers, Respondent’s “lawyer will send lawyer letter to your Chinese suppliers. Our lawyer will collect all ocean freight from suppliers through legal way. This is our official notice to your company.” (CX 108-109). (¶31, Declaration of Andrew McKenna (CX 7386-7403)).

38. On August 1 and 2, 2022, Respondent notified Complainant that 19 of the 20 Containers were in California. (¶32, Declaration of Andrew McKenna (CX 7386-7403)). See chart below with references.

<u>Container</u>	<u>Date Notified in CA</u>	<u>Ref.</u>
BEAU4986763	8/1/2022	CX 149-150
CLHU8963040	Unknown	Unknown
FANU1742269	8/1/2022	CX 355-356
GAOU6616340	8/1/2022	CX 406-407
TCNU6134091	8/1/2022	CX 438-439
TCNU6557513	8/1/2022	CX 470-471
TCNU6756449	8/1/2022	CX 519-520
TCNU7351126	8/1/2022	CX 557-561
TGBU9704789	8/1/2022	CX 598-602
TLLU4212160	8/1/2022	CX 642-646

TLLU5558286	8/2/2022	CX 686-693
TLLU5672365	8/2/2022	CX 731-738
TXGU7117086	8/1/2022	CX 795-796
TXGU7118415	8/1/2022	CX 908-912
TXGU7118550	8/1/2022	CX 999-1000
TXGU7119812	8/1/2022	CX 1080-1081
TXGU7120114	8/1/2022	CX 1137-1138
TXGU7120120	8/1/2022	CX 1259-1260
TXGU7120330	8/1/2022	CX 1312-1313
UACU5979959	8/1/2022	CX 1393-1397

39. On August 16, 2022, Candy Xiong with Galanz advised Complainant that Responent was pushing Galanz to arrange payment of ocean freight today for two unrelated containers. (CX 110-111). (¶33, Declaration of Andrew McKenna (CX 7386-7403)).

40. On August 22, 2022, Respondent's US agent, Celestial Freight Solutions, requested that Complainant sign a guarantee letter before releasing the pickup number for other containers which are not part of this matter, and that the containers would not be released until demurrage was paid (although Complainant had otherwise paid for the transport of those containers). (CX 14-28). (¶34, Declaration of Andrew McKenna (CX 7386-7403)).

41. On August 22, 2022, Dong G. Ngo with Ba-Shi Yuexin Logistics requested that Respondent and Celestial Freight Solutions hold a shipment and not release it to Complainant because full payment had not been made on an unrelated container. (CX 92).

42. In mid to late August, and into September and October 2022, the 20 Containers were loaded onto a train for transportation from the ports in California to the railyard in Chicago. (¶17, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶35, Declaration of Andrew McKenna (CX 7386-7403)). See the chart below with references:

Container	Date Loaded onto Rail	Ref.	Date Arrived in IL	Ref.
BEAU4986763	8/22/2022	CX 151-163	8/29/2022	CX 163
CLHU8963040	8/22/2022	CX 298-308	8/29/2022	CX 308

FANU1742269	8/10/2022	CX 365-373	8/17/2022	CX 373
GAOU6616340	8/17/2022	CX 408-410	8/24/2022	CX 410
TCNU6134091	8/14/2022	CX 440-442	8/19/2022	CX 442
TCNU6557513	8/24/2022	CX 472-473	8/29/2022	CX 473
TCNU6756449	8/30/2022	CX 521-525	9/4/2022	CX 525
TCNU7351126	8/23/2022	CX 562-564	8/28/2022	CX 564
TGBU9704789	8/23/2022	CX 603-605	8/28/2022	CX 605
TLLU4212160	8/23/2022	CX 647-649	8/28/2022	CX 649
TLLU5558286	8/23/2022	CX 694-696	8/28/2022	CX 696
TLLU5672365	8/17/2022	CX 739-741	8/24/2022	CX 741
TXGU7117086	8/17/2022	CX 797-807	8/26/2022	CX 807
TXGU7118415	9/15/2022	CX 918-928	9/23/2022	CX 928
TXGU7118550	8/22/2022	CX 1001-1013	8/29/2022	CX 1013
TXGU7119812	8/22/2022	CX 1082-1092	8/29/2022	CX 1092
TXGU7120114	8/20/2022	CX 1139-1146	8/27/2022	CX 1146
TXGU7120120	9/10/2022	CX 1261-1267	9/15/2022	CX 1267
TXGU7120330	8/20/2022	CX 1314-1324	8/27/2022	CX 1324
UACU5979959	10/15/2022	CX 1412-1422	10/22/2022	CX 1422

43. Demurrage began to accrue for some of the 20 Containers while the Parties were in a dispute over the unrelated containers that lasted until or around September 9, 2022. (¶37, Declaration of Andrew McKenna (CX 7386-7403)).

44. Demurrage charges for the 20 Containers began after they arrived at the Chicago rail station while they were waiting for trucking transportation to Complainant's warehouse. (¶18, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶37, Declaration of Andrew McKenna (CX 7386-7403)).

45. Under the terms of the Transport Contract, Respondent was responsible for the trucking service for the 20 Containers. (CX 2). (¶19, Declaration of Salvatore B. Guasto (CX 7404-8011)).

46. Although demurrage began to accrue on 19 of the 20 Containers, the demurrage dates remain unknown for the blanks in the chart below, and could not be ascertained through

discovery.³ (¶22, Declaration of Salvatore B. Guasto (CX 7404-8011)). See chart below with references:

Container	Demurrage Begins	Ref.
BEAU4986763	9/7/2022	CX 176
CLHU8963040	9/7/2022	CX 327-329
FANU1742269	8/24/2022	CX 393-395
GAOU6616340		
TCNU6134091		
TCNU6557513		
TCNU6756449	9/10/2022	CX 516-518, 544-546
TCNU7351126		
TGBU9704789		
TLLU4212160		
TLLU5558286		
TLLU5672365		
TXGU7117086	9/1/2022	CX 824-826
TXGU7118415	9/29/2022	CX 943
TXGU7118550	9/8/2022	CX 1049
TXGU7119812	9/8/2022	CX 1106
TXGU7120114	9/7/2022	CX 1173-1175
TXGU7120120	9/22/2022	CX 1279-1280

³ For Containers GAOU6616340, TCNU6134091, TCNU7351126, TGBU9704789, TLLU4212160, TLLU5558286, and TLLU5672365, an Invoice was produced by UML International (USA) that had a total demurrage charge for the 7 containers without breaking down the demurrage charges by container or dates. (CX 403, with copies in the respective folders for each applicable container in the Appendix). The demurrage charge for Container TCNU6557513 is unknown. In addition to documents not providing the requested information, Complainant requested Respondent to “specifically identify all storage/demurrage charges incurred as it relates to the following containers from the time they were unloaded from their vessel(s) in the United States until the containers were loaded onto the rail for transportation to Chicago, including the container number, dollar amount of storage/demurrage, days charged for the storage/demurrage, and entity who charged the storage/demurrage: BEAU4986763, CLHU8963040, FANU1742269, GAOU6616340, TCNU6134091, TCNU6557513, TCNU6756449, TCNU7351126, TGBU9704789, TLLU4212160, TLLU5558286, TLLU5672365, TXGU7117086, TXGU7118415, TXGU7118550, TXGU7119812, TXGU7120114, TXGU7120120, TXGU7120330, and UACU5979959,” but Respondent’s response was to object that the “Interrogatory is unduly burdensome and seeks information readily available to both parties” and provide a dollar amount with no further information for 11 of the 20 Containers. (CX 1550-1563, at Interrogatory No. 27). This is a violation of industry standards and a failure to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property. See , ¶21, Declaration of Salvatore B. Guasto (CX 7404-8011).

TXGU7120330
UACU5979959

9/7/2022 CX 1338-1339
10/24/2022 CX 1455-1456

47. In or around early September, Respondent's representative and Complainant's representative "Gary" had at least one telephone call wherein Respondent requested that Complainant pay for 8 unrelated containers first, and that the 20 Containers would be released if the ocean freight was paid. (CX 88). (¶38, Declaration of Andrew McKenna (CX 7386-7403)).

48. On September 2, 2022, Respondent stated that once the ocean freight was paid for the 20 Containers, it would telex release the 20 Containers. (CX 87-88). (¶39, Declaration of Andrew McKenna (CX 7386-7403)).

49. The 20 Containers were essentially being held hostage for payment that was not yet due for the 20 Containers under the terms of the Transport Contract because the 20 Containers had not been delivered to Complainant's local warehouse. (CX 2).

50. On September 9, 2022, Complainant offered to pay \$449,575 for outstanding charges listed by Respondent (the total of which was \$465,270 listed by Respondent without backup documentation) after a review of Respondent's invoices:

- \$412,540.00 for payment in full for sea freight for 28 containers, including the 20 Containers;
- \$10,400.00 for partial payment of delivery fees for 8 unrelated containers (the delivery fees listed by Unifelix were significantly above market rate); and
- \$26,635.00 for unknown additional costs for 8 unrelated containers under protest.

(CX 82-83). (¶40, Declaration of Andrew McKenna (CX 7386-7403)).

51. Respondent agreed to the payment of \$449,575 on September 2, 2022. (CX 82). (¶41, Declaration of Andrew McKenna (CX 7386-7403)).

52. On September 13, 2022, payment of \$449,575 was initiated by Complainant in accordance with its agreement with Respondent. (CX 85). (¶42, Declaration of Andrew McKenna (CX 7386-7403)).

53. After payment, on September 14, 2022, Respondent requested the pickup numbers for the 20 Containers. (CX 169 (with copies appearing in the sections of the Appendix for each container)). (¶23, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶43, Declaration of Andrew McKenna (CX 7386-7403)).

54. On September 15, 2022, Respondent instructed its US agent, Celestial Freight Solutions, to hold all of the pickup numbers for the 20 Containers and not release the 20 Containers until all demurrage charges had been paid. (CX 93, 112). (¶44, Declaration of Andrew McKenna (CX 7386-7403)).

55. Demurrage had accrued on the 20 Containers because Respondent would not provide the trucking services from the Chicago rail station to Complainant's local warehouse. (¶25, Declaration of Salvatore B. Guasto (CX 7404-8011)).

56. The demurrage charges had accrued on the 20 Containers because Respondent violated the terms of the Transport Contract. (CX 2-3). (¶25, Declaration of Salvatore B. Guasto (CX 7404-8011)).

57. The pickup numbers were required for Way to remove the 20 Containers from the Chicago rail station. (¶29, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶45, Declaration of Andrew McKenna (CX 7386-7403)).

58. Without the pickup numbers, the 20 Containers continued to accrue demurrage charges. (¶45, Declaration of Andrew McKenna (CX 7386-7403)).

59. The unpaid demurrage charges listed in the September 15, 2022 email (CX 93, 112) were for the following containers which were NOT part of the 20 Containers: UFS22050434 (container FANU1103798)(CX 114-115); UFS22050690 (container FSCU7164495)(CX 114-115); UFS22050740 (container HLXU8148845)(CX 114-115); UFS22050783 (container HLBU2241172)(CX 150); UFS22060607 (container HLBU1011473)(CX 150); UFS22050423 (container FANU1503412)(CX 114-115); and a MSK invoice in the amount of \$76,540 which correlates to 19 unrelated containers (CX 4615-4617). (CX 93, 112). (¶27, Declaration of Salvatore B. Guasto (CX 7404-8011)).

60. In that same September 15, 2022 email, Respondent told its US agent, Celestial Freight Solutions, that Complainant had a very bad reputation and delayed for a long time to process payment to Respondent. (CX 93, 112). (¶46, Declaration of Andrew McKenna (CX 7386-7403)).

61. On September 15, 2022, Rena Huang with Respondent told Dong G. Ngo with Ba-Shi Yuexin Logistics to be sure to collect all charges from Complainant before they picked up a container(s). (CX 94-95).

62. Dong G. Ngo replied to Rena Huang on September 15, 2022, that Celestial Freight Solutions (Respondent's US agent) was the consignee and invoices would be sent to Celestial Freight Solutions for payment. (CX 94).

63. On September 17, 2022, Cendy Rodriguez with Celestial Freight Solutions told Complainant that "[d]ue to very overdue invoices and high demurrage, destination carrier will not release the final 20 containers until your company clears all attached invoices." (CX 96). (¶47, Declaration of Andrew McKenna (CX 7386-7403)).

64. On September 22, 2022, Respondent told Celestial Freight Solutions (US agent for Respondent) to hold container TCNU6557513 (one of the 20 Containers) until all demurrage was paid because Respondent was worried that Way would not pay the demurrage charges. (CX 97-98).

65. On September 22, 2022, Rena Huang with Respondent told Dong G. Ngo with Ba-Shi Yuexin Logistics to “Pls confirm us that your company and carrier HPL will hold containers until consignee clear all demurrage charge. Otherwise it' s [sic] impossible to collect demurrage charge from this actual consignee if they get containers. We'd better to emphasize with shipping lines to hold containers until consignee all demurrage charge. Because consignee delay to pay payment and delay to pick up container. Consignee have full responsibility [sic] to pay all demurrage charge. Pls note it ,thank you!” (CX 100-101).

66. Dong G. Ngo replied to Rena Huang on September 22, 2022, that “[w]e have to release PU# to Celestial before containers LFD since I have no idea if/when these would be picked up. I Have already spoken with SSL & they will not hold cargo once pick up# released. Since Celestial is cnee on our bill., Celestial responsibility to either hold pick up# from end customer and/or advise trucker to NOT deliver until all charges are cleared.” (CX 99).

67. On September 23, 2022, Respondent advised Complainant that the estimated time of arrival to the Chicago rail station for Container TXGU7118415 (part of the 20 Containers) was on September 25 and that the pickup number would be “held until line demurrage is cleared for your shipments.” (CX 934). (¶48, Declaration of Andrew McKenna (CX 7386-7403)).

68. On October 10, 2022, pickup numbers were released for the following containers which were part of the 20 Containers: TCNU6557513, TXGU7117086, TXGU7120114, CLHU8963040, FANU1742269, TXGU7119812, TXGU7120330, TXGU7120120,

TXGU7118550, BEAU4986763, and TCNU6756449. (CX 174-175). (¶23, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶49, Declaration of Andrew McKenna (CX 7386-7403)).⁴

69. On October 13, 2022, Respondent advised Complainant that, referring to the 20 Containers, “[t]hrough our unremitting communication and coordination, the US agent finally released 12 container PU# to your company. However, the US agent insisted that the consignee should settle the demurrage charges at the destination port before releasing the remaining 8 PU, because they were worried that once all the containers were released, they would be difficult to recover the demurrage charges, and the carrier would find trouble for them.” (CX 944-945). (¶50, Declaration of Andrew McKenna (CX 7386-7403)).

70. On October 24, 2022, Respondent told Celestial Freight Solutions to hold containers TCNU7351126, TLLU4212160, TLLU5558286, GAOU6616340, TLLU5672365, and TGBU9704789 (all part of the 20 Containers) until all demurrage was paid. (CX 102-103). (¶51, Declaration of Andrew McKenna (CX 7386-7403)).

71. On October 24, 2022, Respondent advised Complainant that the pickup number for Container TXGU7118415 was not being held by Respondent or its US agent, Celestial Freight Solutions, but by the forwarder, Interfreight Logistics, and carrier, Hapag-Lloyd, until demurrage on two other containers were paid. (CX 946-956). (¶52, Declaration of Andrew McKenna (CX 7386-7403)).

72. On October 24, 2022, Monarch Container Line dba Deckwell Sky (USA) advised Respondent and Complainant that it would not release the pickup number for Container

⁴ After execution, a scrivener’s error was discovered in the Declaration as to the number of pickup numbers released.

UACU5979959 (one of the 20 Containers) until Hapag Lloyd's demurrage charges of \$98,925 were paid. (CX 1423-1449). (¶53, Declaration of Andrew McKenna (CX 7386-7403)).

73. On October 24, 2022, Celestial Freight Solutions (US agent for Respondent) released the pickup number for 7 more containers (TCNU7351126, TLLU4212160, TLLU5558286, GAOU6616340, TLLU5672365, TGBU9704789, and TXGU7118415) (all part of the 20 Containers). (CX 423, with copies in the respective folders for each applicable container in the Appendix). (¶23, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶54, Declaration of Andrew McKenna (CX 7386-7403)).

74. Therefore, on October 24, 2022, 19 of the 20 Containers had been released with their pickup numbers. The last pickup number was released on November 2, 2022. (¶23, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶54, Declaration of Andrew McKenna (CX 7386-7403)). See chart below with references.

Container	Date PU number requested	Ref.	Date PU Number Provided	Ref.
BEAU4986763	9/14/2022	CX 169	10/10/2022	CX 174
CLHU8963040	9/14/2022	CX 313	10/10/2022	CX 324
FANU1742269	9/14/2022	CX 380	10/10/2022	CX 389
GAOU6616340	9/14/2022	CX 413	10/24/2022	CX 423
TCNU6134091	9/14/2022	CX 445	10/13/2022	CX 454-455
TCNU6557513	9/14/2022	CX 478	10/10/2022	CX 495
TCNU6756449	9/14/2022	CX 529	10/10/2022	CX 538
TCNU7351126	9/14/2022	CX 565	10/24/2022	CX 577
TGBU9704789	9/14/2022	CX 608	10/24/2022	CX 620
TLLU4212160	9/14/2022	CX 652	10/24/2022	CX 664
TLLU5558286	9/14/2022	CX 697	10/24/2022	CX 709
TLLU5672365	9/14/2022	CX 744	10/24/2022	CX 756
TXGU7117086	9/14/2022	CX 823	10/10/2022	CX 875
TXGU7118415	9/14/2022	CX 914	10/24/2022	CX 957
TXGU7118550	9/14/2022	CX 1038	10/10/2022	CX 1047
TXGU7119812	9/14/2022	CX 1095	10/10/2022	CX 1104
TXGU7120114	9/14/2022	CX 1164	10/10/2022	CX 1205
TXGU7120120	9/14/2022	CX 1268	10/10/2022	CX 1275

TXGU7120330	9/14/2022	CX 1327	10/10/2022	CX 1336
UACU5979959	9/14/2022	CX 1401	11/2/2022	CX 1462-1485

75. After the pickup numbers were provided, Complainant arranged for truck transportation to remove the 20 Containers from the Chicago yard to avoid incurring additional demurrage charges. (CX 178, 326, 391, 428, 456, 497, 540, 588, 631, 675, 720, 767, 877, 961, 1051, 1108, 1207, 1281, and 1340). (¶30, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶55, Declaration of Andrew McKenna (CX 7386-7403)).

76. 7 of the 20 Containers also accrued rail storage and service charges, in addition to trucking fees for 10 of the 20 Containers, which were paid by Complainant. (CX 1486-1532). (¶30, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶55, Declaration of Andrew McKenna (CX 7386-7403)). See below with references:

Container	Trucking Fee	Ref.	Rail Yard Storage and Service Charge	Ref.
BEAU4986763	\$1,444.01	CX 1488	\$8,825.00	CX 1489
FANU1742269	\$1,444.01	CX 1493		
TCNU6134091			\$12,200.00	CX 1496
TCNU6557513	\$1,671.51	CX 1502		
TCNU6756449	\$1,389.01	CX 1504	\$7,475.00	CX 1505
TXGU7117086	\$1,484.01	CX 1513	\$250.00	CX 1514
TXGU7118550	\$1,389.01	CX 1518		
TXGU7119812	\$1,486.51	CX 1520	\$8,825.00	CX 1521
TXGU7120114	\$1,499.01	CX 1524		
TXGU7120120	\$1,609.01	CX 1526	\$5,171.25	CX 1527
TXGU7120330	<u>\$1,581.51</u>	CX 1530	<u>\$9,050.00</u>	CX 1531
TOTAL:	\$14,997.60		\$51,796.25	

77. On October 25, 2022, while the pickup number for Container UACU5979959 was still being withheld, Hapag Lloyd issued a final demand letter in the amount of \$100,279 for demurrage charges. The letter did not specify the container numbers. (CX 1449). (¶56, Declaration of Andrew McKenna (CX 7386-7403)).

78. The only invoices issued by Respondent for the 20 Containers were Debit Notes for “OCEAN FREIGHT PREPAID”. (CX 53-72). (¶57, Declaration of Andrew McKenna (CX 7386-7403)).

79. The ocean freight charged by Unifelix for the 20 Containers is listed below (¶58, Declaration of Andrew McKenna (CX 7386-7403)).:

<u>Container</u>	<u>Ocean Freight</u>	<u>Ref.</u>
BEAU4986763	\$14,700.00	CX 65
CLHU8963040	\$14,700.00	CX 69
FANU1742269	\$14,700.00	CX 68
GAOU6616340	\$14,700.00	CX 61
TCNU6134091	\$14,700.00	CX 71
TCNU6557513	\$14,700.00	CX 63
TCNU6756449	\$14,700.00	CX 67
TCNU7351126	\$14,700.00	CX 58
TGBU9704789	\$14,700.00	CX 72
TLLU4212160	\$14,700.00	CX 59
TLLU5558286	\$14,700.00	CX 60
TLLU5672365	\$14,700.00	CX 70
TXGU7117086	\$14,700.00	CX 55
TXGU7118415	\$14,700.00	CX 56
TXGU7118550	\$14,700.00	CX 66
TXGU7119812	\$14,700.00	CX 57
TXGU7120114	\$14,700.00	CX 54
TXGU7120120	\$14,700.00	CX 64
TXGU7120330	\$14,700.00	CX 62
UACU5979959	<u>\$14,700.00</u>	CX 53
	\$294,000.00	

80. Through discovery, Complainant discovered one instance of overcharging by Respondent as it relates to ocean freight. Despite charging Complainant \$14,700 for ocean freight, Respondent was only charged a total of \$18,500 for ocean freight for 10 containers, including one of the 20 Containers, which averages \$1,850 ocean freight per container. (¶59, Declaration of Andrew McKenna (CX 7386-7403)).

Container	Ocean Freight	Ref.	Actual Ocean Freight	Ref.
CLHU8963040	\$14,700.00	CX 74	\$1,850.00 estimated	CX 74-80

81. No documentation was attached to the ocean freight debit notes provided by Respondent to Complainant. (CX 53-72). (¶57, Declaration of Andrew McKenna (CX 7386-7403)).

82. Based on the information uncovered as it relates to Container CLHU8963040, it appears the ocean freight included other charges or was grossly inflated. (CX 74-80). (¶59, Declaration of Andrew McKenna (CX 7386-7403)).

83. Based on the documentation reviewed by Complainant, there were two containers (FANU1742269 and TXGU7118415, both part of the 20 Containers) that started to accrue demurrage charges before Complainant was notified by Respondent that the containers were even in Chicago. (CX 365-373, 374-375, 393-395, 918-928, 936-942, 943). (¶60, Declaration of Andrew McKenna (CX 7386-7403)). See chart below.

Container	Date Arrived in Chicago	Date Demurrage Begins	Date Complainant Notified
FANU1742269	08/17/2022 (CX 365-373)	08/24/2022 (CX 393-395)	09/01/2022 (CX 374-375)
TXGU7118415	09/23/2022 (CX 918-928)	09/29/2022 (CX 943)	09/30/2022 (CX 936-942)

84. As another example showing Respondent's and its US agent's practices in dealing with Complainant for other unrelated containers, on August 1, 2022, Complainant requested work orders from Celestial Freight Solutions for several containers. (CX 120-124). (¶61, Declaration of Andrew McKenna (CX 7386-7403)).

85. Celestial Freight Solutions responded to Complainant's request for work orders by providing a sample work order and told Complainant to create the work order itself. (CX 118-119). (¶62, Declaration of Andrew McKenna (CX 7386-7403)).

86. Complainant responded on August 1, 2022 by asking Celestial Freight Solutions where the unrelated containers were located. (CX 118). (¶63, Declaration of Andrew McKenna (CX 7386-7403)).

87. Celestial Freight Solutions responded through a couple of emails that the information could be obtained from Complainant's custom broker because it was the broker's responsibility and Celestial Freight Solutions was "way behind & have no time to provide for all 65 containers." (CX 116-118). (¶64, Declaration of Andrew McKenna (CX 7386-7403)).

88. Later that day, Respondent told Complainant that Celestial Freight Solutions "just explained that they already sent location [sic] detail to your broker before" and provided the locations of the unrelated containers. (CX 114-116). (¶65, Declaration of Andrew McKenna (CX 7386-7403)).

89. It was not until this FMC matter was instigated and the Parties engaged in discovery, that documentation from third parties was provided to show the charges for each of the 20 Containers. Yet, even now, there is still missing information which Respondent and third parties could not provide to justify the amounts charged by Respondent. Additionally, some charges were "bulk" charges so the individual container charges had to be estimated by dividing the total charge by the number of containers for the total charge. (¶66, Declaration of Andrew McKenna (CX 7386-7403)). See charts below with references, including Chart 4 which totals the freight and other charges which Complainant has obtained from the documents produced in this matter.⁵

⁵ As noted in more detail in the Argument section, these actions by Respondent are in violation of industry standards and a clear breach of Respondent's duties as an NVOCC governed by the Commission. (¶¶21, 28, Declaration of Salvatore B. Guasto (CX 7404-8011)).

Chart 1

Container	Ocean Freight	Ref.	Actual Ocean Freight	Ref.
		CX 65,		
BEAU4986763	\$14,700.00	148	\$3,646.00	CX 141-142
CLHU8963040	\$14,700.00	CX 69	\$1,850.00	CX 74-80
FANU1742269	\$14,700.00	CX 68	?	
GAOU6616340	\$14,700.00	CX 61	?	
TCNU6134091	\$14,700.00	CX 71	?	
TCNU6557513	\$14,700.00	CX 63	?	
TCNU6756449	\$14,700.00	CX 67	?	
TCNU7351126	\$14,700.00	CX 58	?	
TGBU9704789	\$14,700.00	CX 72	?	
TLLU4212160	\$14,700.00	CX 59	?	
TLLU5558286	\$14,700.00	CX 60	?	
TLLU5672365	\$14,700.00	CX 70	?	
TXGU7117086	\$14,700.00	CX 55	\$3,646.00	CX 781-782
TXGU7118415	\$14,700.00	CX 56	\$3,646.00	CX 901-902
TXGU7118550	\$14,700.00	CX 66	\$3,646.00	CX 978-979
TXGU7119812	\$14,700.00	CX 57	\$3,646.00	CX 1073-1074
TXGU7120114	\$14,700.00	CX 54	\$3,646.00	CX 1128-1129
TXGU7120120	\$14,700.00	CX 64	\$3,646.00	CX 1228-1229
TXGU7120330	\$14,700.00	CX 62	\$3,646.00	CX 1305-1306
UACU5979959	\$14,700.00	CX 53	?	
	\$294,000.00			

Chart 2

Container	THC Origin Fee	Ref. (THC and Export Fees)	Export Fee	Other Fees	Ref.
BEAU4986763	\$1,538.00	CX 139-140	\$30.00	\$8,860.00	CX 141-142
CLHU8963040	\$1,538.00	CX 199-202	\$30.00	\$8,510.00	CX 194-198
FANU1742269	\$1,538.00	CX 347-348	\$30.00	\$2,757.00	CX 349-352
GAOU6616340					
TCNU6134091					
TCNU6557513					
TCNU6756449					
TCNU7351126					
TGBU9704789					
TLLU4212160					

TLLU5558286					
TLLU5672365					
TXGU7117086	\$1,538.00	CX 783-784	\$30.00	\$4,864.00	CX 781-782, 787-789
TXGU7118415	\$1,538.00	CX 899-900	\$30.00	\$4,864.00	CX 901-902
TXGU7118550	\$1,538.00	CX 7976-977	\$30.00	\$4,864.00	CX 978-979
TXGU7119812	\$1,538.00	CX 1071-1072	\$30.00	\$4,864.00	CX 1073-1074
TXGU7120114	\$1,538.00	CX 1130-1131	\$30.00	\$4,864.00	CX 1132-1134
TXGU7120120	\$1,538.00	CX 1226-1227	\$30.00	\$4,864.00	CX 1228-1229
TXGU7120330	\$1,538.00	CX 1303-1304	\$30.00	\$4,864.00	CX 1305-1306
UACU5979959					

Chart 3

Container	Value Added Surcharge	Ref.	Congestion Fee	Ref.
BEAU4986763	\$1,850.00	CX 143-146		
CLHU8963040	\$1,850.00	CX 272-285	\$350.00	CX 272-285
FANU1742269	\$1,850.00	CX 349-352		
GAOU6616340				
TCNU6134091				
TCNU6557513				
TCNU6756449				
TCNU7351126				
TGBU9704789				
TLLU4212160				
TLLU5558286				
TLLU5672365				
TXGU7117086	\$1,850.00	CX 787-789	\$350.00	CX 787-789
TXGU7118415	\$1,850.00	CX 903-906	\$350.00	CX 901-902
TXGU7118550	\$1,850.00	CX 980-983	\$350.00	CX 978-979
TXGU7119812	\$1,850.00	CX 1075-1078	\$350.00	CX 1073-1074
TXGU7120114	\$1,850.00	CX 1132-1134	\$350.00	CX 1132-1134
TXGU7120120	\$1,850.00	CX 1230-1233	\$350.00	CX 1228-1229
TXGU7120330	\$1,850.00	CX 1307-1310	\$350.00	CX 1305-1306
UACU5979959				

Chart 4

Container	Handling Charge	Ref.	Late Fee in Leaving Port	Ref.	Port Congestion Fee?⁶	Ref.
BEAU4986763	\$21.67	CX 147	\$250.00	CX 164		
CLHU8963040					\$18,500.00	CX 288-289
FANU1742269	\$21.67	CX 353				
GAOU6616340	\$13.00	CX 404				
TCNU6134091						
TCNU6557513						
TCNU6756449						
TCNU7351126	\$13.00	CX 554				
TGBU9704789						
TLLU4212160	\$13.00	CX 639				
TLLU5558286	\$13.00	CX 683				
TLLU5672365	\$13.00	CX 728				
TXGU7117086			\$250.00	CX 785		
TXGU7118415			\$250.00	CX 913		
TXGU7118550	\$21.67	CX 989				
TXGU7119812						
TXGU7120114						
		CX				
TXGU7120120	\$21.67	1239				
TXGU7120330						
UACU5979959						

90. As a result of Respondent's wrongful and illegal actions, Complainant has incurred the following damages (¶31, Declaration of Salvatore B. Guasto (CX 7404-8011))(¶67, Declaration of Andrew McKenna (CX 7386-7403)):

Container	Trucking Fee	Ref.	Rail Yard Storage and Service Charge	Ref	Demurrage	Ref.
BEAU4986763	\$1,444.01	CX 179	\$8,825.00	CX 180-181	\$6,230.00	CX 176-177, 182-184

⁶ The invoice was included in a folder produced by Celestial Freight Solutions for Container CLHU8963040. (Compare CX 2761, corresponding to Celestial Freight 000060 to CX 2770-2771 corresponding to Celestial Freight 000069-000070, which matches CX 288-289).

CLHU8963040					\$6,050.00	CX 327-329
FANU1742269	\$1,444.01	CX 392			\$8,750.00	CX 393-395
GAOU6616340					\$6,050.00	CX 403
TCNU6134091			\$12,200.00	CX 457-461	\$6,050.00	CX 436
TCNU6557513	\$1,671.51	CX 498				
TCNU6756449	\$1,389.01	CX 541	\$7,475.00	CX 542-543	\$5,690.00	CX 516-518, 544-546
TCNU7351126					\$6,050.00	CX 555
TGBU9704789					\$6,050.00	CX 596
TLLU4212160					\$6,050.00	CX 640
TLLU5558286					\$6,050.00	CX 684
TLLU5672365					\$6,050.00	CX 729
TXGU7117086	\$1,484.01	CX 878	\$250.00	CX 879-880	\$7,490.00	CX 824-826, 881-883
TXGU7118415					\$4,610.00	CX 943
TXGU7118550	\$1,389.01	CX 1052			\$6,050.00	CX 1049-1050
TXGU7119812	\$1,486.51	CX 1109	\$8,825.00	CX 1110-1111	\$6,050.00	CX 1106-1107
TXGU7120114	\$1,499.01	CX 1208			\$6,050.00	CX 1173-1175, 1209-1211
TXGU7120120	\$1,609.01	CX 1282	\$5,171.25	CX 1283-1284	\$3,530.00	CX 1280-1281
TXGU7120330	<u>\$1,581.51</u>	CX 1341	<u>\$9,050.00</u>	CX 1342-1343	\$6,230.00	CX 1338-1339
UACU5979959					<u>\$2,155.00</u>	CX 1459-1460
TOTAL:	\$14,997.60		\$51,796.25		\$78,105.00	

91. Interestingly, Respondent's Interrogatory responses dated August 4, 2023 do not match the demurrage amounts produced in this litigation. (CX 1550 – 1563, at Interrogatory No. 27).

ARGUMENT

I. Unifelix's actions violated 46 U.S.C. §41102(c)&(d)

The Commission has repeatedly found in cases like this that the actions of a common carrier, such as Unifelix, that holds cargo hostage for unrelated freight and demurrage charges has violated 46 U.S.C. 41102(c). *See*, ¶¶21 and 28, Declaration of Salvatore B. Guasto (CX 7404-

8011). When Way paid the charges related to the 20 Containers, even though the rail demurrage was not due to the actions of Way, Unifelix had no right to continue to refuse the release of the 20 Containers, yet it did. And it did so willfully and repeatedly.

Unifelix has admitted its status as an NVOCC registered with the Commission and subject to its jurisdiction (Answer, ¶¶2&5) and even though its status with the ocean carriers is as a shipper, this does not relieve it of its duties to Way as an NVOCC and as a common carrier under the Shipping Act. *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, et al., 2011 FMC LEXIS 12 (August 1, 2011). Accordingly, Unifelix's actions in this matter are a clear violation of 46 U.S.C. 41102(c).

A carrier can withhold delivery of cargo to compel the shipper to pay freight money that is lawfully owed and has a cargo lien which the carrier can assert if necessary, which lien the carrier loses if it surrenders the cargo. See *Johnson Products Co., Inc. v. M/V Molinera*, 628 F. Supp. 1240, 1248 (S.D. N.Y. 1986); Gilmore and Black, *The Law of Admiralty* (2d ed.) sec. 3-45; 70 Am Jur 2d, Shipping, sec. 793. Conversely, if a shipper or consignee induces the carrier to surrender the cargo and thus lose its lien, and thereafter refuses to pay the lawful freight money owed because the shipper or consignee has outstanding disputes with the carrier on earlier unrelated shipments, and withholds payment of the lawful freight as a means to coerce the carrier to settle the disputes on earlier unrelated shipments, the shipper or consignee has acted unlawfully, in violation of section 10(a)(1) of the 1984 Act. See *Waterman Corp. v. General Foundries, Inc.*, 26 S.R.R. 1173 (I.D.), affirmed with slight modifications, 26 S.R.R. 1424 (1994). Thus, disputes over earlier unrelated shipments cannot be used by either a carrier or a shipper as justification for refusing to release the cargo or to pay lawful freight money.

Bernard & Weldcraft Welding Equip. v. Supertrans Int'l, Inc., 29 S.R.R. 1348, 1356 n.14 (ALJ 2003) (emphasis added), admin. final

Feb. 12, 2003. *See also American Steel Barge Co. v. Chesapeake & O. Coal Agency Co.*, 115 F. 669, 672 (1st Cir. 1902) (a lien against cargo ‘cannot be applied . . . beyond the amount of freight stipulated in the bill of lading’); *Finora Co., Inc. v. Amitie Shipping, Ltd.*, 852 F. Supp. 1298, 1307 (D.S.C. 1994) (‘Under U.S. law, a shipowner's lien on sub-freights is limited to the amounts which may be due under the Voyage Charter.’) (citing *American Steel Barge Co. v. Chesapeake & O. Coal Agency Co.*); *The Albert Dumois*, 54 F. 529, 530 (D.C.N.Y. 1893) (‘By virtue of this provision the shipowner may enforce a lien upon the cargo for the freight stated in the respective bills of lading, but for no more.’).

Tianshan, Inc. V. Tianjin Hua Feng Transport Agency Co., Ltd., 2011 FMC LEXIS 9,40-41 (Docket No. 08-04, March 9, 2011)(emphasis in original). *See also, Adenariwo*, 420 U.S. App. D.C. at 308, 808 F.3d at 80 (Approving FMC Settlement Officer finding that it was unlawful for the carrier to condition the release of Container 2 upon the payment of demurrage for Container 1); *see, Petra Pet, Inc. v. Panda Logistics Ltd, Panda Logistics Co., Ltd and RDM Solutions*, 33 S.R.R. 4 (F.M.C. 2013) (finding that an NVOCC's withholding and aborting of a shipment to coerce payment of a debt for other shipments was an unreasonable practice and violated section 10(d)(1), and that the failure of an NVOCC to provide the status of the shipment to the shipper was a Section 10(d)(1) violation); *William J. Brewer v. Saeid B. Maralan (aka Sam Bustani) & World Line Shipping, Inc.*, 29 S.R.R. 6 (F.M.C. 2001) (NVOCC held to have violated Section 10(d)(1) when it refused to release the cargo at the destination port unless additional money was paid, and instructed its agent to place the shipment on hold); *Hugh Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871 (ALJ 1993) (NVOCC's failure to carry out its obligation to transport the cargo or to return the money despite repeated demands was held a violation of section 10(d)(1) as it showed “a failure to establish, observe and enforce just and reasonable regulations and practices”); and *William R. Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11 (ALJ 1991) (NVOCC failed to establish, observe, and enforce just and reasonable regulations and practices in

violation of section 10(d)(1) when the NVOCC unreasonably aborted a shipment, notwithstanding the fact that it had issued an onboard bill of lading, thereby allowing a misleading shipping document to go forward in the shipping process).

The Commission has stated that “[t]he test of reasonableness” for practices is that “the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.” *Kawasaki Kisen Kaisha, Ltd v. The Port Authority of New York and New Jersey*, 2014 FMC LEXIS 36, at *19 (Docket 11-12) (Order Affirming Dismissal of Complaint) (FMC Nov. 20, 2014) (quoting *W. Gulf Mar. Ass’n v. Port of Hous. Autk*, 21 F.M.C. 244, 248, 18 S.R.R. 783, 790 (FMC 1978), *aff’d* without opinion sub nom. *W. Gulf Mar. Ass’n. v. FMC*, 610 F.2d 1001 (D.C. Cir. 1979), cert. denied, 449 U.S. 822 (1980)). As supported by the Declaration of Salvatore B. Guasto, Complainant’s expert, these actions were in violation of industry standards as well as a violation of the statutes and regulations governing Respondent’s actions in this matter. See, ¶¶21 & 28, Declaration of Salvatore B. Guasto (CX 7404-8011).

In this case, Unifelix’s own communications with its agent, Celestial, demonstrate that it acted unreasonably when it wrongfully and repeatedly refused to release the 20 Containers to Way well after all charges related to the 20 Containers had been paid, under protest, by Way. As demonstrated by the timeline over which these actions occurred, and the numerous coerced payments demanded by Unifelix, unrelated to the 20 Containers, these actions by Unifelix were normal, customary, and continuous. 46 C.F.R. § 545.4; *CMI Distribution, Inc., v. Service By Air, Inc., et al.*, 1 FMC 2nd 313, 336 (May 24, 2019). Even when the 20 Containers were released, Unifelix breached its obligation under the Transport Contract to deliver the 20 Containers to Way’s facility, requiring Way to incur additional drayage expenses and demurrage. See, ¶¶21 & 28, Declaration of Salvatore B. Guasto (CX 7404-8011).

Additionally, despite repeated requests during the transit of the cargo and through discovery, Unifelix has failed to provide any evidence that even the ocean demurrage and detention charges paid by Way for the 20 Containers and the unrelated containers were for “intended primary purposes as financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5(c)(1). A clear example is found in Chart 4 above where Unifelix charged Way for an \$18,500 “port congestion fee.” Despite inquires to support the charges, Unifelix failed to provide any information to show that there was in fact congestion at the port and how the \$18,500 fee addressed such congestion. In a Show Cause Order issued by the Commission in *Mediterranean Shipping Company - Investigation for Compliance With §§ 41104(A) And 41102 of Demurrage or Detention Charges Under the Charge Complaint Procedures of 46 U.S.C. § 41310*, (Docket CC-01, February 3, 2023) the Commission determined that the failure to justify such a charge demonstrated that it was not in compliance with 46 U.S.C. §41102(c). As noted in the Proposed Findings of Fact, Unifelix failed to justify any of the charges demanded of Way for the release of the 20 Containers.

Furthermore, as shown in the Proposed Findings of Fact, on numerous occasions Unifelix failed to timely “provide notice to cargo interests that cargo is available for retrieval.” 46 C.F.R. § 545.5(c)(2)(iii); *see also*, Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 96 (May 18, 2020), and Fact Finding Investigation 29, 2022 FMC LEXIS 219 (May 31, 2022).

As attested to by Andrew McKenna (¶¶19, 58, 59, 60, Declaration of Andrew McKenna (CX 7386-7403)) and the supporting emails and documents, Unifelix conflated the ocean freight and demurrage charges on the 20 Containers and the unrelated containers such that it was virtually impossible for Way to verify the sums actually due regarding the shipments. The Commission has found that this is an unreasonable practice. *Bakerly, LLC, v. Seafrigo USA Inc.*, 2023 FMC LEXIS

290, *31-32 (June 14, 2023). Moreover, Way “is not required to identify and prove every instance of error within [Unifelix’s] billing practices. *See, Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC Possible Violations of* 46 U.S.C. § 41102(c), 2022 FMC LEXIS 156, at *4; 2022 WL 3093193, at *32 (Apr. 22, 2022) (Discussing that each violation does not require proof but instead a showing that the policy and practice itself is unreasonable will suffice).” *Id.* Furthermore, the invoices submitted by Unifelix failed to provide the information required by 46 U.S.C. § 41102(d) showing that such charges comply with (A) all provisions of part 545 of title 46, Code of Federal Regulations and (B) applicable provisions and regulations. As demonstrated in the Proposed Findings of Fact, supported by the Appendix, the invoices failed to provide the information necessary to explain the invoice: “who is being charged, for what, by whom, and how disputes can be addressed in a timely fashion.” *Notice of Proposed Rulemaking: Interpretive Rule on Demurrage and Detention Under the Shipping Act* (Notice Interpretive Rule), 84 Fed. Reg. 48850, 48853, 48855 (Fed. Mar. Comm’n Sept. 17, 2019). Unifelix’s actions are a clear violation of the Commission’s directives and are unreasonable as a matter of law. *Amendments to Regulations Governing NVOCC Negotiated Rate Arrangements and NVOCC Service Arrangements*, 83 Fed. Reg. 34780 (citing *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 34 S.R.R. 613, 622-623 (FMC 2016)); *see also*, ¶¶21 & 28, Declaration of Salvatore B. Guasto (CX 7404-8011).

Accordingly, Way has established Unifelix’s violation of 46 U.S.C. §§ 41102(c) & (d) and is entitled to the damages resulting therefrom and any further relief the Commission deems appropriate, including an assessment of penalties against Unifelix to protect the public from such actions in the future.

II. Unifelix's actions violated 46 U.S.C. §41103(a)(1)

As detailed in ¶¶20-54, of the Declaration of Andrew McKenna (CX 7386-7403), Unifelix engaged in a smear campaign against Way by not only contacting its suppliers and demanding payments for freight and demurrage, but also by contacting freight forwarders and other companies within Way's supply chain and claiming that Way had a bad reputation for paying its bills. In fact, the Transport Contract makes it very clear that Way's payments for these charges were not due until seven (7) days after delivery of the cargo to its facility. *See*, CX 2, Transport Contract, ¶V.

As a result of Unifelix's actions in disclosing the information it was clearly designed and had the intended effect to be "to the detriment or prejudice of the shipper", namely Way. *See*, ¶16, Declaration of Salvatore B. Guasto (CX 7404-8011). By spreading false and inaccurate information about the shipments and Way's payments, Unifelix created a false cloud of uncertainty related to Way causing other entities in the supply chain to demand payment from Way directly. All of this was a ruse by Unifelix to hide its own inability to meet its obligations to Way as the NVOCC due to its own cash flow issues, as admitted by Unifelix. *See*, CX 5-10. As Unifelix intended, this resulted in unlawful coercion of payments by Way for charges on unrelated containers in order to secure the release of the 20 Containers being wrongfully held by Unifelix. *See*, ¶¶21 & 28, Declaration of Salvatore B. Guasto (CX 7404-8011). Accordingly, Unifelix has violated its duty under 46 U.S.C. §41103(a)(1) and this violation led to the coercion by Unifelix for the unlawful payments of freight, demurrage, and other charges wholly unrelated to the 20 Containers.

III. Unifelix's actions violated 46 U.S.C. §41104(a)(10)

The evidence shows that the actions of Unifelix in failing to provide the requested and required backup for the invoices submitted to Way, as well as the refusal to complete the contracted

service of the drayage of the 20 Containers from the rail yard to Way's facility was an effort to shut out Way and a refusal to negotiate the legitimate concerns of Way in relation to the charges from Unifelix. 46 U.S.C. §41104(a)(10) states that a common carrier, such as Unifelix, may "unreasonably refuse to deal or negotiate." Way has met its burden with substantial evidence showing such violations. *Canaveral Port Auth. -- Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, 29 S.R.R. 1436, 1448 (FMC 2003).

In this regard the actions by Unifelix are like those of the common carrier, Hamburg, in *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S et al.*, 6 F.M.C. 2nd 165 (June 7, 2023). In that case, Hamburg was found to have stopped dealing or negotiating in good faith when, among other things, it failed to fulfill its remaining obligations under its contract with the shipper OJ Commerce, LLC ("OJC"). *Id.* at 195. Similarly, it is evident that Unifelix refused to fulfill its obligations under the Transport Contract in failing to provide the final leg of drayage from the rail yard to Way's facility, even after Way paid, under protest, all related charges to the 20 Containers, even though the same were not yet due under the Transport Contract, and the hundreds of thousands of dollars for freight, demurrage and other charges for the unrelated containers.

Having satisfied that Unifelix failed to deal and negotiate in good faith, the next question is whether such refusal was unreasonable. Again, the *OJ Commerce* decision is instructive.

[H]ere, the evidence shows that OJC sought to obtain transportation to which it was entitled under the existing service contract, objected to demurrage fees that have since been refunded, and otherwise raised legitimate concerns regarding whether Hamburg was meeting its contractual and Shipping Act obligations. Thus, deference to legitimate business decisions would not extend to the conduct at issue here. **Refusing service based on these facts is not related to legitimate business decisions or transportation factors and is therefore unreasonable.**

Id. at 198 (emphasis added). Similarly, Way sought to obtain transportation to which it was entitled under the existing Transport Contract. Way also objected to demurrage fees but couldn't even object to them directly because Unifelix would not provide the ocean carrier bills of lading nor the true invoices from the related ocean carriers. Way likewise raised legitimate concerns as to Unifelix's conduct being in violation of its duties as an NVOCC. While Unifelix may claim that the Transport Contract was not a service contract directly governed by the Shipping Act, there is nothing in the language of 46 U.S.C. §41104 that limits its provisions to such service contracts. Rather its prohibitions apply to the actions of common carriers such as Unifelix. There is substantial evidence to support the conclusion that Unifelix violated 46 U.S.C. §41104(a)(10) by its smear campaign against Way.

IV. Unifelix's actions were cumulatively a breach of the Transport Contract

As noted in the Order denying Unifelix's Motion to Dismiss, supplemental jurisdiction exists over Way's breach of contract claims. The Transport Contract is silent as to the applicable law governing its terms. It contains no choice of law, nor venue provision. *See*, CX 2. Nevertheless, it is undisputed the Unifelix has agreed to submit itself to the jurisdiction of the United States and the Federal Maritime Commission, and abide by the relevant laws, statutes, and regulations in the conduct of its business as an NVOCC under the Commission.

The various items of cargo originated from various locations within China, but all were to be delivered to Way at its facility in Indiana and payment under the Transport Contract was not triggered until delivery at Way's facility in Indiana. It is evident that Indiana has the most intimate contacts related to the performance of the contract. Based upon the relevant factors under the Restatement (Second) Conflict of laws, Indiana has the more significant contacts and thus its law should apply.

(2) In the absence of an effective choice of law by the parties (see § 187), the contacts to be taken into account in applying the principles of § 6 to determine the law applicable to an issue include:

- (a) the place of contracting,
- (b) the place of negotiation of the contract,
- (c) the place of performance,
- (d) the location of the subject matter of the contract, and
- (e) the domicil, residence, nationality, place of incorporation and place of business of the parties.

These contacts are to be evaluated according to their relative importance with respect to the particular issue.

Restatement 2d of Conflict of Laws, § 188 (2nd 1988).⁷ Looking at each factor, (a) the place of contracting occurred in each Parties' own country and state. As to (b), the contract was negotiated via email and calls between the Parties, not in one particular country or state. As to (c), the place of performance is Indiana, at the point of delivery to Way's facility. That is the last act of performance that triggers payment.

As the various items of cargo originated from various locations within China, but all were to be delivered to Way at its facility in Indiana and payment under the Transport Contract was not triggered until delivery at Way's facility in Indiana, it is evident that Indiana has the most intimate contacts related to the performance of the contract.

'The court will consider all acts of the parties touching the transaction in relation to the several states involved and will apply as the law governing the transaction the law of that state with which the facts are in most intimate contact.' 223 Ind. 570, 63 N.E.2d 417, 423 (1945) (emphasis added). The rule was based on academic syntheses of decided cases that had 'examine[d] all the circumstances which could be supposed to have influenced the

⁷ While Unifelix may attempt to argue that Chinese law would apply to a contract of transportation, the comments to the Restatement support the application of US law. So, the real question is which state's law applies in the US. "Probably the majority of claims in contract for damage to goods during interstate transportation or during international transportation to or from the United States by land, sea or air are governed by treaty or by federal law." *Restatement 2d of Conflict of Laws, § 197* Comment a. (2nd 1988).

actions of the parties, and [found] the most intimate contact at that place which might be characterized as the center of gravity of the circumstances.’ *Id.* (quoting Harper & Taintor, Cases on Conflict of Laws 173, 175 (1937)). W.H. Barber Co. held that in choice-of-law cases involving contracts, the law of the state in which the transaction is ‘most closely associated’ applies. *Id.*

Nat'l Union Fire Ins. Co. v. Standard Fusee Corp., 940 N.E.2d 810, 814 (Ind. 2010). As that court went on to note, this “‘most intimate contact’ rule is consistent with the approach that was to be taken by the Restatement (Second) of Conflict of Laws (1971).” *Id.* These same facts support a finding under (d) that Indiana is the location of the subject matter of the contract because the commercial purpose of the contract was to get component parts to Way for the construction of its products. As with (a) and (b) factors, factor (e) is also a nullity as the Parties each are domiciled in different countries. Nevertheless, the overwhelming factors support a determination that Indiana law applies to the breach of contract claim.

So, while the choice of law was not spelled out in the Transport Contract, it is clear as to the obligations of the Parties. The Parties cannot change the transportation charges after the cargo is in transport. *See*, CX 2, Transport Contract ¶III. Payment was to be made within seven (7) days of the cargo’s arrival at Way’s facility. *See*, CX 2, Transport Contract ¶IV. Any supplemental agreements to the Transport Contract were to be mutually agreed by the parties. *See*, CX 2-3, Transport Contract ¶7. “The essential elements of a breach of contract action are the existence of a contract, the defendant’s breach thereof, and damages.” *Berkel & Co. Contractors, Inc. v. Palm & Assocs., Inc.*, 814 N.E.2d 649, 655 (Ind. Ct. App. 2004). As set forth in the Proposed Findings of Fact, it is evident that Unifelix breached its obligations under the Transport Contract.

Almost immediately after entering into the Transport Contract, Unifelix began to breach its contractual duties and sought to alter the terms. The inflated and unsupported invoices by Unifelix to Way are set forth in detail in the Declarations of Andrew McKenna and Salvatore

Guasto, and the Proposed Findings of Fact. Unifelix failed to provide any sort of backup or explanation of the charges it was claiming as owed by Way. Way's question of the charges and Unifelix's unfair and prejudicial practices led to Unifelix demanding that the Transport Contract be changed. Instead of abiding by the terms of the Transport Contract, Unifelix began to demand payments in advance of delivery of the cargo to Way's facility and began to harass Way's suppliers, demanding payment from them in an effort to smear Way's reputation and essentially blackmail it into accepting new terms for the Transport Contract. All of which were violations of its duties to Way as its customer. *See*, ¶¶16, 21, & 28, Declaration of Salvatore B. Guasto (CX 7404-8011).

Way rejected any changes to the Transport Contract and repeatedly demanded Unifelix perform its obligations. *See, generally*, Declaration of Andrew McKenna, (CX 7386-7403). Unifelix repeatedly refused to do so. And as noted earlier, Unifelix's demands for payments on claimed ocean freight, demurrage, and other charges on unrelated containers, before its release of the 20 Containers, was in direct violation of the payment terms. Even worse, when Way did make the payments for the 20 Containers, under protest, and the unrelated charges, Unifelix still demanded more payments on unrelated cargo before finally releasing the 20 Containers. Unifelix's final act of defiance as to its contractual obligations was to then refuse to provide the agreed upon drayage service from the Chicago rail yard to Way's facilities. As set forth in the Proposed Findings of Fact above, these actions caused significant damage to Way and were a direct result of Unifelix's breach of contract.

V. Damages

Unifelix clearly violated the Shipping Act by its willful unfair, unjust, and prejudicial actions against Way and by refusing to fairly negotiate with Way in the resolution of its claims.

These same actions were a breach of the Transport Contract as well in that Unifelix not only breached its duties in general, but also refused to provide the drayage service from the Chicago rail yard to Way's facility and Unifelix demanded payment of ocean freight, demurrage, and other charges contrary to the payment terms under the Transport Contract. Unifelix's efforts to unfairly demand freight, demurrage and other unrelated charges were clear violations of the Shipping Act with direct consequential damages. *Total Fitness Equip. v. Worldlink Logistics, Inc.*, 28 S.R.R. 534, 542 (FMC 1998), *aff'd sub nom. Worldlink Logistics, Inc. v. Federal Maritime Comm'n*, 203 F.3d 54 (D.C. Cir. 1999) (attempting to collect an unreasonable debt by refusing the release of cargo held a violation of the Shipping Act) (cited by *TPG Pressure, Inc. v. Omni Logistics, LLC*, 2023 FMC LEXIS 83, *8 (FMC 2023)).

As detailed below, these violations proximately caused significant damage to Way, not only financially, but also in its customer relations and caused Way to sustain actual injury. Consequently, Way is entitled to an order directing Unifelix to pay Way's reparations for its actual injuries sustained. 46 U.S.C. § 41305(b). Additionally, Unifelix's actions warrant an assessment of penalties against Unifelix pursuant to 46 C.F.R. §502.603 as it relates to Unifelix's violations under 46 U.S.C. §41104. Any damages not directly awardable under the Commission's primary jurisdiction are nonetheless awardable under its supplemental/ancillary jurisdiction for the breach of the Transport Contract by Unifelix.

Unifelix wrongfully demanded payment of ocean freight and ocean carrier demurrage claims totaling \$212,500.00 on the unrelated cargo shipments (¶¶40, 44, & 53, Declaration of Andrew McKenna (CX 7386-7403)) consisting of \$10,400 in delivery fees for 8 unrelated containers, \$26,635 in additional costs for 8 unrelated containers, \$76,540 charges on 19 unrelated containers, and \$98,925 for demurrage to charges to the ocean carrier for unrelated containers.

Additionally, Way incurred additional expenses related to the 20 Containers totaling \$144,898.85 consisting of the additional trucking charges, additional rail storage charges, and demurrage. (¶31, Declaration of Salvatore B. Guasto (CX 7404-8011)). (¶67, Declaration of Andrew McKenna (CX 7386-7403)). A portion of these charges were incurred due to the unlawful refusal to release the 20 Containers after all claimed charges were paid by Way, under protest, and the remainder of these charges were incurred due to Unifelix's breach of the Transport Contract. Accordingly, the total reparations and damages due to Way as a result of the unlawful actions of Unifelix total \$357,398.85.

It is a matter of law that Unifelix willfully breached 46 U.S.C. §41102(c). *Tianshan, supra*. Based on the language of 46 U.S.C. § 41305(c), that fact alone warrants the payment of additional damage amounts to Way of up to "twice the amount of the actual injury." Here, not only has Unifelix violated that section as well as others of the Shipping Act by failing to observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property, but it has also knowingly and willfully done so, and in violation of its contractual obligations.

Unifelix knowingly and willfully breach the Transport Contract governing the 20 Containers. Unifelix's mismanagement of its cash flow and failure to have reasonable and just practices in place to respond to the requests of Way as to the various claimed charges inflicted severe damage upon Way.

In order to prove that a person acted 'knowingly and willfully,' it must be shown that the person has knowledge of the facts of the violation and intentionally violates or acts with reckless disregard or plain indifference to the Shipping Act, or purposeful or obstinate behavior akin to gross negligence. The Commission has further held that a person's 'persistent failure to inform or even to attempt to inform himself by means of normal business resources might mean

that a [person] was acting knowingly and willfully in violation of the Act.’

Rose Int’l, 29 S.R.R. at 164-165, 2001 WL 865708, at *47 (citations omitted); see also *Pacific Champion Express Co., Ltd. – Possible Violations of Section 10(b)(1)*, Docket No. 99-02, 28 S.R.R. 1397, 1403, 2000 WL 534633, at *10 (FMC April 21, 2000) (similar language).

OJ Commerce, LLC, 6 F.M.C. 2nd at 226. Accordingly, the evidence supports a doubling of Way’s damages for an award of \$714,797.70, plus interest on same at the prevailing rate.

ATTORNEYS’ FEES AND COSTS

Upon prevailing against Respondent on its claims, Complainant will submit a petition, pursuant to 46 U.S.C. § 41305(e) and 46 C.F.R. § 502.254, for the award of its attorneys’ fees and costs against Respondent.

CONCLUSION

For all of the foregoing reasons, Way Interglobal Network, LLC, respectfully requests and award of reparations for the actual injuries suffered by it, as well as a doubling of those amounts, a reservation for an award of attorneys’ fees and costs, and any other relief deemed just and proper.

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CERTIFICATE OF SERVICE

I hereby certify that I have this 8th day of September, 2023, served the foregoing document upon Theodore H. Adkinson, Esq. (THA@tradeandcargo.com) by electronic mail, with a courtesy copy to judges@fmc.gov.



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